

European Utilities & Clean Energy

European Utilities: Key takeaways from Bernstein SDC 2026



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We hosted the management and investor relations team of several companies in our coverage at our 2026 Strategic Decisions Conference in London on September 9th and 10th including Iberdrola, Enel, SSE, Veolia, EDP, Endesa, RWE, E.ON, Terna, Elia, Verbund, Vestas, and highlight our key takeaways in this note.

The conference reinforced our constructive view on the European utilities sector, with **electricity networks emerging as the strongest and most visible growth driver** across virtually all geographies. Companies highlighted accelerating investment opportunities linked to renewable integration, storage deployment, grid resilience, cybersecurity, electrification and data-centre connections. Regulatory frameworks in Spain, Brazil, Germany and the UK are generally evolving to support higher network capex and RAB growth.

A second consistent theme was the expectation of **stronger-than-planned medium-term growth**, particularly among Iberian utilities. Note discussions with Iberdrola, Endesa and EDP suggested that current business-plan assumptions may prove conservative, supported by higher network investment opportunities, resilient supply margins, stronger hydro and flexibility earnings, attractive renewable economics and solid power-demand growth. Strategic-plan updates due around FY26 results could therefore provide scope for target upgrades.

Management teams were also broadly constructive on the outlook for **power demand**, citing data centers, EV adoption and electrification as key structural drivers. Conversely, **capital requirements and funding** are increasingly becoming a central investor focus as higher capex programs drive leverage growth. While most companies remain comfortable with funding plans, asset rotations, hybrid issuance and other financing solutions are expected to play a growing role. Higher interest rates appear manageable operationally, but remain a valuation headwind for the sector.

Supply-chain concerns have eased materially compared with previous years. Utilities and equipment suppliers reported improving equipment availability, stabilizing labour costs and lower component inflation, supported by long-term procurement agreements and greater standardization. While isolated bottlenecks remain in specialized transmission equipment and complex offshore projects, supply-chain constraints are no longer viewed as a major obstacle to delivering growth plans, supporting improved confidence in the sector's ability to execute rising investment programs.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	10 Sep 2026	Price Target	TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing Price		Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
EDP.PL (EDP)	O	EUR	4.79	5.40	10.4%	EUR	0.31	0.33	0.32	15.5	14.4	15.0
ELI.BB (Elia)	O	EUR	117.60	145.00	9.9%	EUR	5.51	6.91	7.84	21.3	17.0	15.0
ELE.SM (Endesa)	M	EUR	42.05	41.00	44.6%	EUR	2.22	2.46	2.60	18.9	17.1	16.1
ENEL.IM (Enel)	M	EUR	8.93	9.80	(1.2)%	EUR	0.67	0.70	0.77	13.3	12.7	11.6
IBE.SM (Iberdrola)	M	EUR	20.02	20.00	13.4%	EUR	0.95	1.02	1.12	13.1	12.3	11.5
SSE.LN (SSE)	O	GBP	2,364.00	2,850.00	29.0%	GBP	1.61	1.53	1.82	14.7	15.4	13.0
TRN.IM (Terna)	O	EUR	9.21	10.30	(6.4)%	EUR	0.52	0.51	0.54	17.7	18.0	17.0
VIE.FP (Veolia)	O	EUR	31.44	40.00	(6.9)%	EUR	2.25	2.42	2.67	14.0	13.0	11.8
VER.AV (Verbund)	U	EUR	61.30	54.60	(14.4)%	EUR	4.24	2.82	3.83	14.5	21.7	16.0
EDME			1,584.30									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

IBE.SM valuation is EV/Adj EBITDA (x);

Source: Bloomberg, Bernstein estimates and analysis.

VALUATION COMPS TABLE

EXHIBIT 1: Bernstein European Utilities comparative valuation table

	BERN Rating	Curr.	Close Price	Market Cap (m)	P/E			EV/EBITDA			ND/EBITDA			DY (%)		
					2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Generation																
Fortum	-	EUR	24.7	22,198	24.1x	23.6x	22.1x	15.6x	15.2x	14.7x	1.2x	1.1x	1.1x	3.7%	3.7%	3.8%
Verbund	U	EUR	61.7	21,401	21.8x	16.1x	19.0x	12.2x	9.8x	8.5x	2.0x	1.9x	0.0x	2.3%	3.1%	2.6%
Average					23.0x	19.8x	20.5x	13.9x	12.5x	11.6x	1.6x	1.5x	0.5x	3.0%	3.4%	3.2%
Integrated																
Iberdrola	M	EUR	20.0	133,596	19.6x	17.9x	16.4x	12.0x	11.6x	11.3x	4.1x	4.2x	4.3x	3.7%	3.9%	4.0%
Enel	M	EUR	8.9	90,768	12.7x	11.5x	11.2x	7.8x	7.7x	7.5x	3.3x	3.5x	3.5x	5.8%	6.1%	6.3%
Engie	M	EUR	24.1	61,400	12.2x	11.0x	11.3x	8.5x	7.6x	7.8x	4.0x	3.4x	3.6x	5.7%	6.2%	6.5%
Endesa	M	EUR	41.8	43,597	17.0x	16.0x	15.2x	9.1x	9.4x	9.1x	1.9x	2.3x	2.3x	4.4%	4.6%	4.9%
Naturgy	M	EUR	29.3	28,623	13.3x	13.7x	14.3x	8.3x	8.3x	8.4x	3.0x	3.0x	2.9x	6.3%	6.5%	5.6%
SSE	O	GBP	2,385	28,588	13.1x	11.0x	9.9x	11.4x	10.4x	9.6x	3.0x	3.3x	3.4x	3.1%	3.3%	3.5%
EDP	O	EUR	4.7	20,021	14.3x	14.8x	13.9x	8.3x	8.5x	8.2x	2.9x	3.0x	2.9x	4.4%	4.4%	4.8%
Centrica	M	GBP	151	6,982	12.0x	10.6x	9.4x	6.7x	6.8x	5.9x	-0.8x	-0.6x	-0.4x	4.0%	4.4%	5.4%
Average					14.3x	13.3x	12.7x	9.0x	8.8x	8.5x	2.7x	2.8x	2.8x	4.7%	4.9%	5.1%
Regulated																
National Grid	-	GBP	1,129	56,728	12.7x	11.6x	10.6x	11.7x	11.0x	10.4x	5.6x	5.6x	5.6x	4.4%	4.5%	4.6%
E.ON	-	EUR	17.5	46,249	16.1x	14.2x	13.4x	10.4x	9.6x	9.3x	4.8x	4.7x	4.7x	3.4%	3.5%	3.6%
Terna	O	EUR	9.2	18,520	18.0x	17.0x	16.0x	11.9x	11.7x	11.8x	5.6x	5.9x	6.3x	4.3%	4.3%	4.5%
Snam	M	EUR	5.5	18,397	12.8x	12.8x	12.4x	12.3x	12.1x	12.3x	6.4x	6.4x	6.8x	5.7%	6.0%	6.2%
Elia	O	EUR	117.6	12,827	17.0x	15.0x	12.5x	15.1x	14.7x	14.0x	8.9x	9.6x	9.7x	1.8%	1.8%	1.8%
Redeia	O	EUR	14.9	8,062	16.2x	16.0x	15.0x	10.8x	10.9x	10.7x	4.6x	4.7x	5.0x	5.5%	5.6%	5.7%
Severn Trent	O	GBP	2,912	8,796	14.4x	11.2x	10.3x	13.0x	11.8x	11.4x	7.4x	7.1x	7.1x	4.5%	4.6%	4.7%
United Utilities	O	GBP	1,322	9,821	12.7x	11.7x	12.0x	12.2x	11.8x	12.1x	6.2x	6.4x	7.0x	4.2%	4.3%	4.4%
Italgas	M	EUR	8.3	8,424	11.3x	10.3x	9.5x	9.2x	8.6x	8.5x	5.0x	4.8x	4.8x	5.8%	6.3%	6.8%
Enagas	O	EUR	16.6	4,344	18.0x	14.5x	14.8x	11.3x	9.3x	9.2x	4.6x	3.7x	3.4x	6.0%	6.0%	6.0%
Pennon	M	GBP	447	2,111	17.1x	14.4x	13.2x	12.6x	12.4x	12.3x	8.8x	8.9x	9.0x	6.8%	6.9%	7.1%
REN	O	EUR	3.5	2,325	16.0x	16.3x	15.4x	8.3x	8.2x	8.0x	4.5x	4.6x	4.5x	4.7%	4.9%	5.0%
Average					15.2x	13.7x	12.9x	11.6x	11.0x	10.8x	6.1x	6.0x	6.1x	4.7%	4.9%	5.0%
Renewable																
RWE	-	EUR	60.3	47,002	20.0x	18.1x	16.8x	11.1x	9.8x	9.5x	2.2x	2.2x	2.4x	2.2%	2.4%	2.6%
Orsted	-	DKK	135.6	179,154	17.2x	14.1x	13.2x	7.7x	7.6x	6.0x	0.9x	1.2x	0.3x	2.0%	2.3%	2.4%
EDPR	O	EUR	13.1	13,903	26.9x	26.0x	23.3x	10.2x	9.9x	9.5x	4.0x	3.5x	3.3x	1.5%	1.5%	1.7%
Acciona Energia	M	EUR	21.4	6,963	48.8x	30.9x	32.5x	8.2x	9.6x	9.4x	2.8x	3.2x	3.2x	1.2%	1.1%	1.1%
Grenergy	M	EUR	89.6	2,561	22.7x	16.3x	9.4x	17.9x	14.1x	11.7x	6.5x	6.6x	7.1x	0.0%	0.0%	0.0%
Solaria	M	EUR	17.6	2,365	14.0x	11.8x	9.8x	12.4x	10.6x	8.9x	6.2x	6.1x	5.1x	0.0%	0.0%	0.0%
Average					24.9x	19.5x	17.5x	11.2x	10.3x	9.2x	3.8x	3.8x	3.6x	1.1%	1.2%	1.3%
Environment																
Veolia	O	EUR	31.4	23,344	13.0x	11.8x	10.9x	7.8x	7.4x	7.1x	3.8x	3.6x	3.5x	5.1%	5.6%	6.0%
Utilities Sector Average					16.8x	14.7x	13.8x	10.5x	9.9x	9.4x	4.1x	4.1x	4.1x	3.7%	3.9%	4.1%
Other																
Metten	M	EUR	47.3	6,732	11.3x	8.6x	6.5x	9.2x	7.3x	5.6x	3.1x	2.4x	1.6x	3.1%	4.1%	5.4%

Bloomberg pricing data as of market close 10 September 2026

Source: Bloomberg, Bernstein analysis and estimates

Table Of Contents

Key takeaways.....	4
E.ON (Not Rated).....	6
EDP (O, PT €5.4).....	7
Elia (O, PT €145).....	8
Endesa (MP, €41).....	9
Enel (MP, €9.8).....	10
Iberdrola (€20.0).....	10
RWE (Not Rated).....	11
SSE (O, PT 2,850 GBp).....	12
Terna (O, PT €10.3).....	13
Veolia (O, PT €40).....	14
Verbund (U, PT €54.6).....	14
Vestas (Not Rated).....	15

DETAILS

We hosted the management and investor relations team of several companies in our coverage at our 2026 Strategic Decisions Conference in London on September 9th and 10th and highlight our key takeaways in this note.

KEY TAKEAWAYS

The discussions across the 11 participating companies pointed to a sector that remains firmly in investment mode, with growth increasingly driven by networks, system resilience and electrification rather than purely renewable deployment. While balance-sheet pressures and political uncertainty are rising, management teams were generally constructive on medium-term earnings growth, with the Iberian utilities appearing particularly well-positioned for target upgrades.

Networks remain the dominant growth engine

The clearest common theme was that electricity networks continue to be the highest-conviction growth opportunity across Europe. Companies including E.ON, Elia, Iberdrola, SSE, Terna and EDP all pointed to expanding investment opportunities driven by renewable integration, storage deployment, grid resilience, cybersecurity, electrification and data center connections. Growth visibility increasingly extends beyond current business plans and, in many cases, well into the next decade. A particularly notable theme was that network investment requirements continue to rise faster than originally anticipated. UK distribution companies expect RIIO-ED3 capex potentially 30-50% above the previous period, Spain has increased investment caps in both transmission and distribution, while Brazil concession renewals are creating additional opportunities to expand and modernize networks.

Electrification and power demand remain supportive

Management teams broadly rejected the view that European electricity demand will remain structurally weak. While current consumption growth remains uneven, most companies highlighted accelerating demand from data centers, electric vehicles, heat electrification and industrial electrification. E.ON, Iberdrola, Endesa, EDP, Elia, RWE and SSE all identified data centers as an important incremental source of demand growth. Importantly, utilities increasingly view demand growth as beneficial not only for volumes but also for affordability, helping spread fixed network costs across a larger customer base. Several companies also argued that stronger demand growth supports medium-term power-price expectations and reduces the risk of structurally declining electricity prices.

Iberian utilities appear positioned to upgrade strategic targets

One of the strongest messages from the conference came from Iberia. Iberdrola, Endesa and EDP all suggested that the underlying assumptions embedded in current business plans are proving conservative. Positive drivers include: **a)** Higher-than-planned network investment opportunities; **b)** Stronger power-price environment; **c)** Resilient retail and supply margins; **d)** Attractive US renewable economics; **e)** Rising storage opportunities; **f)** Strong hydro and flexibility profitability; **g)** Additional growth from Brazil concession extensions and network investments. As a result, the market should increasingly focus on the strategic-plan updates due around FY26 results and early 2027, where upside revisions to medium-term earnings and investment targets appear likely.

Supply-chain concerns are easing

Compared with previous years, supply-chain discussions were far more constructive. E.ON highlighted long-term procurement agreements, standardization and moderating component inflation. Terna indicated that more than 90% of current business-plan capex is already secured. Vestas emphasized improved contracting structures, double sourcing and full cost-indexation protection across its backlog. The main exception remains highly specialized transmission infrastructure, particularly HVDC equipment. Elia's Princess Elisabeth Island project illustrated that supply-chain constraints still exist in certain strategic equipment categories, although these no longer appear to be sector-wide bottlenecks.

Political uncertainty is increasing with some regulatory question marks outstanding

A recurring concern was the political backdrop ahead of the 2027 election cycle across several major European countries. France, Spain, Italy and Poland all face elections within a relatively short timeframe, creating uncertainty around energy policy, affordability measures, taxation and regulatory frameworks. However, most management teams appeared relatively confident that the strategic importance of energy security, network expansion and electrification reduces the likelihood of materially adverse regulatory outcomes. Endesa sees limited risk of renewed Spanish windfall taxes, Veolia views itself as largely insulated from French politics, while E.ON, Elia and Terna remain constructive on forthcoming regulatory reviews.

Capital needs are becoming a key investor focus

Almost all major growth stories ultimately converge on the same challenge: financing. Rising investment opportunities in networks, renewables, storage and flexibility assets imply materially higher sector capital requirements over the next decade (according to Bloomberg consensus, net debt of European utilities would increase by c.50% by 2030e vs 2025 levels or ~€250bn).

Several companies explicitly discussed funding solutions:

- Elia continues to assess hybrids, subsidiary partnerships and additional financing flexibility.
- Terna will use hybrids and retains assets' rotation flexibility
- Iberdrola highlighted further hybrid issuance and asset rotations as likely funding tools.
- Veolia continues to rely on an active disposal programme.
- EDP maintains asset rotation as an important source of capital recycling.
- E.ON currently remain comfortable with existing funding capacity and do not foresee equity issuance.

Higher interest rates are manageable but remain a headwind

The sector's message on higher interest rates was balanced. Operationally, most regulated businesses are reasonably protected as regulatory frameworks increasingly pass through debt costs and rising risk-free rates. Elia highlighted explicit debt-cost protections in both Belgium and Germany, while Terna expects future regulatory reviews to increasingly recognise higher funding costs. EDP quantified a 100bp rate move as a roughly €40m net-profit impact by 2028. Nevertheless, management teams broadly acknowledged that higher rates remain a valuation headwind. Even if earnings impacts are manageable through regulation, higher bond yields increase the cost of capital and place greater emphasis on efficient balance-sheet management.

Inflation: More Supportive Than Restrictive

Inflation was generally viewed as neutral-to-positive for the sector. Most regulated utilities benefit from inflation-linked RAB growth and tariff mechanisms that allow inflation to be passed through into revenues over time. At the same time, management teams highlighted that equipment and labour-cost inflation have moderated materially, reducing pressure on project execution

and returns.

E.ON (NOT RATED)

We hosted CEO Leonhard Birnbaum and Dr. Iris Eveleigh from the IR team for a fireside chat and investor meetings.

Asset resilience and cybersecurity: Recent events in Germany have underlined the need for investment in the physical resilience and security of electricity grids, alongside cybersecurity. E.ON has been investing in these areas for some time, with an acceleration in physical asset resilience since 2022. This is another growth driver for the company as new investments are recognised in the Regulated Asset Base.

Growth outlook and capex drivers: E.ON see regulatory asset base growth in all plausible future scenarios with a variety of growth drivers including e.g. asset resilience, data center grid connections, batteries, electric vehicles and ongoing system digitalisation. Looking at previous planning cycles, management have been wrong about the relative importance of individual growth drivers but consistently too conservative in the level of overall growth. The current investment cycle is seen lasting at least 10 years.

Data centers: As well as being positive for grid connection requests, additional power demand would be very positive for affordability by increasing the volume of power from which the fixed costs of the grid can be shared. From a system point of view there would also be benefits in greater demand addressing Germany's supply from ~200GW of renewables. As in other major European countries, E.ON are seeing significant inflation in data center grid connection requests. Data center customers tend to want to locate their assets in the major centers of Frankfurt, Berlin and Munich, where E.ON has operations, whilst Warsaw is also a growing hub.

German regulatory outlook: E.ON are confident that the final shape of the RP5 regulatory settlement will be acceptable even if progress to date has fallen short of expectations. E.ON see limited read-across from the BNetzA's recent draft determination on gas, where the post-tax cost of equity was set at 4.9% and the cost of debt for existing assets at 2.43%. In particular, for electricity the allowed beta is likely to be set towards the top of the observed range given the strategic importance of attracting investment. Financial parameters for the electricity settlement are due to be published in 2027 with opex elements coming in 2028.

Energy retail outlook: E.ON are now seeing significantly reduced investor skepticism regarding the energy retail business than in prior years. The planned acquisition of Ovo in the UK was opportunistic given the attractive terms available and the opportunity for synergies e.g. in IT system consolidation.

EIS outlook: E.ON continue to see attractive investment opportunities in the EIS division, e.g. with electrification of heat picking up across Europe. The focus remains countries where the company is already active rather than entering new markets.

Sweden regulatory outlook: The next regulatory period in electricity distribution networks in Sweden runs from 2028-2031. Sweden represented ~16% of RAB as at YE2025. E.ON are confident in achieving an acceptable settlement.

Balance sheet and funding: E.ON are very confident in their funding position with no need for new external equity funding. They are open to opportunistic asset rotations, but this is not a core part of the funding strategy.

Supply chain: E.ON have been proactive in securing supply chain under long term agreements, as well as adapting operational practices for maximum efficiency, e.g. via standardization of equipment. Labour costs have stabilized and whilst there is still some component inflation it has materially reduced compared to recent years.

Affordability: E.ON remain very conscious of affordability challenges and have a strong focus on efficiency of investment and building in sync with demand. Specifically in retail, proactive management of customer payments has enabled the company to avoid some of the bad debt challenges seen elsewhere in e.g. the UK energy retail market. Given its strategic importance, E.ON do not see a significant risk of governments using affordability challenges to limit future investment.

M&A: E.ON do see significant potential for M&A opportunities to emerge in coming years, but the primary focus remains organic growth which is operationally more straightforward, e.g. requiring no complex IT integration exercises or competition processes. German municipalities may re-evaluate the merits of continuing with their electricity distribution activities given the growing operational complexity and investment requirements.

EDP (0, PT €5.4)

We hosted Catarina Novais and Pia Domecq from the IR team for investor meetings.

2026 expectations: 2026 is shaping up better than initially expected, supported by strong hydro output and CCGT pricing in FlexGen, better-than-expected networks regulation, higher power prices and ancillary services. Spain's regulatory cap has been increased, allowing potential incremental capex of around €20m/year, while storm-related asset replacements should boost Portugal's RAB. However, 2026 generation is already hedged, limiting upside from high 2Q power prices although above-normal hydrology could provide additional volumes for sale at higher prices (4Q26 forward at €127/MWh, 2027 forward at €84/MWh). The €16bn net debt target remains unchanged, with around €2bn of additional tax equity proceeds expected in 2H26.

2H26 catalysts: Key catalysts include the US elections in November, Portuguese budget discussions with a low probability of CESE being removed, and the Brazilian elections.

February 2027 strategic update: Potential upside drivers include strong FlexGen margins, a recovery in ancillary service revenues and better renewable asset rotation valuations. US IRR spreads are expanding, supported by longer PPA tenors and current pricing of \$60-70/MWh versus a historical average of around \$45-50/MWh. Networks could benefit from higher capex in Spain (not material increase though) and resilience investment in Portugal, while Brazil offers potential upside from the renewed distribution concession with accounting changes, further transmission auctions and discussions over the remuneration of annual RAB additions.

Interest rate and bond yield sensitivity: A 100bps movement in interest rates would affect net profit by around €40m by 2028.

Iberia hedges: EDP achieved an average power price of ~€72/MWh in 2025 and has an average hedged price of ~€70/MWh for 2026. Around 80% is hedged at ~€60/MWh, including purchased power used to cover the short position, implying a significantly higher hydro selling price of ~€85/MWh. The integrated generation-supply margin is ~€45/MWh.

Data centers: The initial Sines project is 200MW, with a long-term target of 1.2GW. Data centers will connect directly to the transmission grid, meaning no upside for EDP's distribution grid. EDP is negotiating energy supply agreements and powered-land monetisation for Sines and the Merlin Edge campus. EDP has additional opportunities at former coal sites for powered land opportunities (150MW Sines, 185MW North Spain, 165MW South Spain).

Portuguese networks: The regulator is considering higher capex allowances to address demand growth, blackout resilience and storm-related investment, although the potential increase remains uncertain. Current expectations are for close to €500m/year of capex in EDP's Portuguese distribution grid.

US renewables: Asset rotation pricing and multiples remain attractive, while PPA prices continue to rise despite increasing capex per MW. Of the 6.0GW safe-harboured capacity, 1.5GW has already been used for 2025-26 projects, leaving scope to accelerate deployment above 1.0GW/year between 2028 and 2030. EDP does not expect any material impact from recent tariff measures due to existing agreements with First Solar and other suppliers.

BESS: Positive dynamics for BESS in Europe and the US will likely increase BESS investments in the new business plan. Opportunities include co-location with renewables and standalone projects supported by capacity auctions. The European storage market has accelerated over the past six months, with Italy viewed as particularly attractive. In Iberia, the company does not expect BESS to impact peak prices in the short term, as BESS capacity is likely to take several years to reach a level sufficient to displace CCGT plants from the merit order.

Gas procurement: EDP has a 1bcm gas supply agreement with Cheniere, with volumes available for CCGT generation or trading activities, although management sees limited scope for trading gains.

Overall, EDP provided positive messages about expected operating performance for 2026 and the coming years vs the initial expectations in the business plan, reinforcing our Outperform rating. US renewable assets are expected to provide high IRRs and higher than expected asset rotation exit prices while new PPAs are reaching high prices (\$60-70/MWh). Networks are likely to see higher investments (in both Iberia and Brazil) related to grid expansion and resilience while FlexGen (Hydro and CCGTs) in Iberia is expected to retain solid margins considering the high price-volatility environment. The next strategic update is expected in February 2027 and is expected to increase current targets.

ELIA (0, PT €145)

We hosted CFO Marco Nix and Stephanie Luyten from the IR team for a fireside chat and investor meetings.

Growth outlook: Overall, Elia's growth outlook is underpinned for at least the next decade, though perhaps at a lower rate into the next decade. The CFO highlighted a clear distinction between Belgium and Germany, with German projects tending to be more complex and over-specified. Germany remains in a broad energy-system transformation, having replaced centrally located coal and nuclear generation with more geographically dispersed capacity, including offshore wind, which requires substantial transmission investment. Belgium's retention of nuclear generation modestly reduces its grid investment needs, although offshore wind remains a common growth driver across both markets.

Future visibility/next strategic plan: Future visibility on funding and capex plans remain limited due to regulatory discussions ongoing though they remain constructive. Further decisions are expected towards the end of the year including grid development plans (Germany expected at year-end, Belgium consultation to conclude in year-end with final publication in May) and regulatory frameworks (Germany expected at year-end). This regulatory visibility will support Elia's next strategic plan, which is expected to be announced at FY26 results (March 2027).

Belgian regulatory returns: Elia targets ~8% cash return on equity as the level needed to maintain the financial viability of its investment plan. The new Belgian framework appears capable of delivering this, with the underlying return increased by 75-80bps and greater absolute incentive potential, although incentives represent a smaller relative share of total returns. Incentives could contribute around 2% to ROE assuming around 60% achievement. The incentive scheme limits upside because some incentives may offset one another or cannot all be achieved simultaneously.

German regulatory returns: Germany is moving in a similar direction through a transition towards a cost-plus framework. The return discussion remains open, but the gas proposal was described as potentially favorable (despite the negative market reaction). This includes the risk-free rate being based on a longer tenor, the market risk premium increasing from 3.7% to 4.95%, positive movement in the cost of debt and the outperformance potential on the cost of debt. The expected composition could be broadly similar to Belgium, combining an underlying return in the 6% range with added outperformance and incentives on top leading to an all-in ~8%, although all elements remain subject to regulatory decisions.

Interest-rate protection: Rising debt costs are largely protected through the regulatory frameworks. Belgium provides an embedded debt-cost pass-through, while Elia feels confident that the German regulatory framework offers enough protection with some outperformance potential. Higher rates can support near-term regulated earnings through the risk-free rate, although they remain a longer-term headwind for the share price and valuation.

Funding: Around 60% of the previously identified ~€4bn equity requirement has effectively been secured through the €2.2bn capital raise and subsequent €900m hybrid issuance. The remaining requirement is not yet fixed and will depend on the final German grid development plan, regulatory framework and potential measures such as accelerated depreciation. The investment profile is back-end loaded and Elia is currently slightly over funded (currently with ~€1.1bn of available liquidity), meaning there is no need to rush the next funding decision. The remaining equity requirement could, in principle, be met entirely through hybrids. Opening subsidiary capital to external investors remains a credible option, with preparatory work under way to preserve flexibility, but no decision has been taken.

Princess Elisabeth Island: The CFO acknowledged that this has always been a highly ambitious and complex, first-of-a-kind project, combining AC and DC technology with offshore wind integration and international interconnection. Execution challenges were compounded by procurement taking place amid significant supply-chain constraints, particularly for DC equipment. Key lessons include the need for greater procurement agility and stronger execution discipline.

Power demand: European electricity consumption has shown limited growth so far, although markets further ahead in electrification, such as Denmark, are already seeing increases. Management remains confident that demand will ultimately rise as transport, heating and industry electrify, but the timing and pace remain uncertain. Affordability is a key constraint, particularly where current consumers are asked to fund infrastructure whose benefits will only emerge later.

Data centers: Connection requests from data centers are increasing, but it is difficult to distinguish committed projects from speculative applications, similar to what has been seen for battery requests in Germany. Elia has limited tools to assess project maturity and does not expect every request to materialise. Grid planning must therefore focus on credible, sufficiently advanced projects rather than headline connection volumes.

Valuation and investment case: The CFO believes a growth premium is justified where there is sufficient visibility and certainty over the investment and earnings trajectory. Marco described Elia as a defensive growth stock and remains confident that there will be sufficient investor appetite for its future financing.

ENDESA (MP, €41)

We hosted Mar Martinez and Isabel Permuy from the IR team for investor meetings.

2H26 outlook: Quarterly EBITDA is expected to remain stable at €1.4-1.4bn, supported by a largely hedged energy position. Open power exposure is below 2TWh, limiting upside from currently elevated wholesale prices. The gas portfolio is also substantially hedged, with limited optimisation opportunities in 2026. A €200m provision was booked in 1H26, with a further provision expected in Q3 (not considered in the dividend).

2027-28 hedging: Gas wholesale exposure remains only modestly open, with ~10% unhedged in 2027 and lower hedge coverage in 2028. The business plan assumes a power price of €58/MWh versus current forward prices of ~€61/MWh.

New strategic plan: A new strategic plan is expected alongside FY26 results in February 2027 and is likely to provide guidance and strategic direction through 2030. The initial views support the idea of a potential upgrade in targets considering power prices, networks' capex and supply margins.

Share buybacks: Management has no current plans to extend the share buyback programme, with balance sheet flexibility and liquidity remaining key priorities.

Data center Royal Decree: Extension of the consultation period is viewed as a positive signal. Endesa expects the proposed requirements to be diluted, as maintaining the current framework could make new projects uneconomic and encourage data center operators to relocate. Key requirements under discussion include sourcing 80% of power from new renewables with hourly matching and meeting water-efficiency standards.

Power demand: Spanish power demand outlook remains positive, supported by broad-based growth across industrial and residential customers in addition to data centers. If Spanish data center capacity reaches 3.0GW, the sector could account for ~5% of total electricity demand by 2030. EV-related demand trends also remain supportive.

Supply: Elevated power price volatility continues to pressure smaller suppliers through higher ancillary service costs, reducing competitive intensity. Endesa noted that Octopus materially increased pricing on new commercial offers during the summer. Supply margins remain relatively healthy and are expected to stay broadly stable.

Nuclear extensions: The Almaraz life extension is already incorporated into the plan and adds ~3TWh of annual generation to the portfolio. The accounting impact is reflected through an increase in D&A of ~€20m per year.

Networks: Distribution capex is being increased towards the regulatory investment cap, including available allowances. Unused capex allowances can be carried beyond 2030, and annual investment has the potential to exceed €2.3bn.

Distressed solar opportunities: Endesa is evaluating acquisitions of distressed solar assets, potentially combined with BESS deployment. Such transactions could help reduce the group's residual short position, which has already fallen from 10TWh to 7TWh following the Almaraz extension.

Politics and regulation: Despite ongoing political debate around SUMAR proposals and potential windfall taxes, management sees no risk of either a new sector tax or the reintroduction of the previous 2% levy.

Overall, the underlying operating drivers remain supportive, with power demand continuing to grow and connection requests from industrial, services and real estate customers remaining robust. Endesa expects the proposed data centre regulation to be softened, although the government appears unlikely to prioritise data centre projects over industrial developments. FY26 guidance is unchanged with limited upside risk given the largely hedged position. The next strategic plan is expected in February 2027 alongside FY26 results and should provide a roadmap through 2030. The plan should reflect higher network investment, nuclear life extensions, higher power prices and higher interest rates. In our view, the operating drivers remain solid but appears largely reflected in prices. The challenge will be demonstrating further earnings growth beyond the current solid 2028 targets (which includes a material supply margin expansion). Additional share buybacks are unlikely, while Enel reiterated that a delisting

of Endesa is not under consideration.

ENEL (MP, €9.8)

We hosted Paolo Germiniani and Alessandro Taddei from the IR team for investor meetings.

Renewables expansion. Enel remains confident in delivering the 15GW new renewable target embedded in the 2026-28 business plan (9GW organic, 6GW inorganic), although capacity additions are expected to be back-end loaded rather than evenly distributed, with approximately 2GW scheduled for FY26, 7GW for FY27 and 5GW for FY28. On inorganic growth, Enel disclosed that 2-3GW of projects are currently at the binding-offer stage, of which around 85% are located in North America, underlining the region's continued strategic importance. The company also highlighted Germany as an increasingly attractive market following its first acquisition there, while South America is currently not a priority geography for renewable expansion.

São Paulo concession. Enel remains confident that the São Paulo electricity distribution concession, due to expire in 2028, will ultimately be renewed. Should the concession not be extended, Enel highlighted that it would be entitled to compensation for the regulated asset base (US\$2.4bn at FY25), ongoing investments and the operating business itself. Any proceeds received under such a scenario could provide additional capital for reinvestment opportunities elsewhere.

Italian electricity distribution concession extensions. Management indicated that discussions regarding the extension of Italian distribution concessions remain ongoing, with no material update on either the timing or the fee structure. Enel continues to assume approximately €1bn of concession-related payments within its business plan (to be added to RAB) and remains focused on reaching a final agreement.

Italian hydro concession extensions. Following the recent court ruling in Emilia-Romagna, Enel believes the risk of competitive auctions for hydroelectric concessions has diminished materially. Instead, the company sees an increasing likelihood that future renewals will be negotiated bilaterally with local authorities, a framework that could provide greater visibility and potentially reduce regulatory uncertainty around these strategically important assets.

IBERDROLA (€20.0)

We hosted Ignacio Cuenca and Alvaro Simancas from the IR team for investor meetings.

Mid-term outlook: Solid growth trajectory through 2030, driven by upside across networks, renewables and power markets. Networks capex presents upside in Spain, the UK, the US and Brazil, with Spanish capex expected to rise towards €1.5bn by 2030. Caruna is incremental to the current plan. For renewables, power prices and US PPA pricing are above assumptions, and there is additional upside from US renewable repowering and life extensions. US offshore leases have not been returned preserving optionality. Pumped-hydro margins are and expected to remain strong with YTD output at ~6TWh. Total group capex could exceed €15bn annually.

Balance sheet and funding: Financial flexibility has tightened following the Caruna acquisition. Iberdrola continues to target a 17-20% FFO/net debt ratio to support its BBB+ rating, although discussions with rating agencies are ongoing around lowering the accepted threshold to 14-15% given the increasing share of regulated network earnings. The next strategic plan is likely to require a combination of additional asset rotation and increased hybrid debt issuance. Hybrids are seen as a likely funding tool, with outstanding hybrids of €8.2bn and potential capacity to increase towards €20bn. Potential candidates for asset rotations include partial sell-downs of offshore wind projects (including AR8 opportunities), Australian transmission assets, potential Spanish solar partnerships and US gas networks.

Networks: UK RIIO-ED3 discussions remain constructive, with distribution capex expected to increase 30-50% versus the previous period, albeit through a gradual ramp-up. In Spain, higher regulatory investment limits support a gradual step-up to ~€1.3bn in 2027 and ~€1.5-1.8bn by 2030, with unused allowances carried beyond 2030. In Brazil, concession extensions allow quality-of-service capex, resulting in ~98% of capex to be added to RAB. The investment step-up is focused on Bahia and supported by demand growth, grid expansion and service quality requirements. For Brazilian transmission, the GIC JV could lower WACC and support additional projects.

Finland - Caruna acquisition: Caruna was viewed as a rare opportunity to acquire a high-quality network asset in a fragmented Finnish market. Iberdrola also highlighted Nordic data center growth, potential expansion opportunities across the Nordic region

and possible future transmission investments in Finland.

US renewables: Iberdrola is targeting to add 2GW by 2030, with 700MW already under construction and the pipeline fully safe-harbored. Additional upside exists through repowering ~5GW of wind assets (repowering capex estimated at ~20% of a new-build project) and extending the life of 1-3GW of projects (by around 10 years). PPA recontracting looks attractive, with PPA prices of \$70-80/MWh versus an existing portfolio average of \$46/MWh. Current PPA prices support high single-digit to low double-digit returns. ~75% of capacity is currently under long-term contracts (average PPA tenor is 14 years and 11 years in the US) with a target to increase to ~85%.

BESS and storage: Iberdrola plans an additional 500MW of battery storage in Spain on top of its existing 500MW fleet. Iberdrola believes hydro and pumped-hydro economics could start to weaken once Spain reaches ~6GW of BESS deployment due to peak-hour saturation. Currently, Iberdrola's hydro fleet is ~10GW of which 4.5Gw is pumped-hydro with part of the remaining fleet potentially coconvertible into pumped-hydro. The company sees potential for ~4GW of additional pumped hydro, although most large projects would require subsidies or capacity payments (capex for new pumped hydro estimated at ~€2m/MW). Smaller reversible-pump projects appear more viable in the near term.

Spanish market: Medium-term Spanish power prices are expected to remain healthy at €60-70/MW while a more balanced gas market is expected by 2030. Retail competition remains intense, although Iberdrola's churn rate of 22% compares favourably with peers above 30%, while telemarketing restrictions are viewed as supportive for customer retention.

Spanish data centers: Iberdrola expects Spanish power demand to accelerate, supported by data centers, EV adoption and heating electrification, each potentially adding ~10TWh of demand by 2030. The company is developing a 144MW data centre project with Echelon, has a further 700MW pipeline ready to proceed, and an early-stage pipeline of around 1GW. Iberdrola believes that the Spanish government is likely to soften the requirements proposed in the draft Royal Decree.

ROE outlook: Returns are expected to remain supported by higher power prices, resilient supply margins and grid businesses generating ROEs close to 10%. Iberdrola also sees potential efficiency benefits from AI initiatives, although did not provide clear guidance on the impact of higher financing costs on future returns.

Overall, the company messaged that the forthcoming strategic update could see current targets move higher, driven by strong underlying trends, growing investment opportunities and recent acquisitions. However, the increased capex programme is putting greater pressure on the balance sheet, making further asset rotations, partnerships and hybrid issuance likely. Iberdrola expressed confidence in networks growth, rising power demand and stable power prices, while the tone on renewables was noticeably more constructive, supported by attractive returns from US renewable projects.

RWE (NOT RATED)

We hosted CFO RWE Renewables Europe & Australia Simon Bockmuhl and Michael Germelmann from the IR team for a fireside chat and investor meetings.

Amprion transaction: RWE identified the recent Amprion transaction as an attractive opportunity to increase the company's exposure to electricity networks, which are increasingly seen as the most attractive opportunity within the energy transition in Europe and the primary bottleneck in Germany.

RWE renewables market selection strategy: RWE is seeking to build out ~1GW of new capacity per year in European renewables, focused on countries where they have identified a durable investment runway and a stable regulatory environment. RWE currently have ~60-70 projects under construction, ~280 operational projects. Italy is seen with challenges in permitting, whilst Spain is challenged due to increasingly suppressed solar capture prices. The most important markets for RWE in Europe are Germany, the UK, France, Italy, Poland and Spain. There is strong internal competition for capital for renewables between European markets and the US, but RWE seeks to maintain geographical diversification. In offshore, asset rotation is a key part of the strategy in part as risk mitigation, whilst the longer tail of smaller projects in onshore wind is kept on the balance sheet.

Other renewables' commentary: RWE believe that their scale provides an operational advantage and as such commonly seek to take over operational control of assets after the expiry of a typically short-term (2-5 years) initial maintenance contract. Returns expectations are calculated using scenario analysis for the merchant tail, RWE seek to minimize merchant exposure and underpin return of capital within an initial fixed-price period. Hurdle rates vary by country and technology according to factors such as currency risk, construction risk etc. Renewables output can be supplemented with batteries, but this is limited in countries where regulation restricts the ability of batteries to draw power from the grid whilst retaining "green" status. RWE

highlighted that over the medium term, current issues with solar capture prices could reduce as the rise of e-mobility introduces more flexible demand sources which can reduce solar capture discounts.

New German gas auctions: RWE welcome Germany's intention to roll out a capacity market given the pressing need. RWE are confident of their competitive position going into the auctions given their existing supply chain arrangements and asset portfolio.

Data centers and European power demand: RWE are optimistic on the outlook for European data centers but comparatively less positive on the return of traditional industrial demand.

PPA demand: RWE have seen a bifurcation in PPA demand by technology and by geography. Customers in Europe are increasingly specifying supply profiles rather than accepting pay-as-produced, and are less happy to commit to longer tenors, instead mixing maturities across 3,5 and 10 year horizons. In the US, customers are happy to accept tenors of 10-15 years. Solar PPAs in Europe are particularly challenged.

Repowering opportunity: RWE see significant potential for repowering in the 2030s given the advantages of 1) an existing grid connection and 2) comparatively attractive locations. Spain has made subsidies available for repowering projects and alongside Germany is seen as one of the most attractive markets for repowering.

Battery investment outlook: RWE see attractive battery investment opportunities in Germany but only for early movers as the market is likely to become saturated over the medium term. The UK is seen as a less attractive market given current saturation, whilst grid connections reform has also presented a challenge. Battery tolling agreements remain immature in Europe.

SSE (0, PT 2,850 GBP)

We hosted Michael Livingston from the IR team for investor meetings.

Ongoing networks pivot: SSE has a £33bn 5-year investment plan to the end of FY30, of which >80% is to be allocated to electricity networks. SSE are making strong progress on delivery, with the recent [Q1 2027 trading statement](#) reporting networks investment up 83% year-on-year. SSE's transmission business recently recruited its 3000th employee having reached 500 only a few years ago. SSE noted the recent NESO *Beyond 2030* report, finding that the ideal UK electricity network development pathway includes ~£17bn (in 2023/24 money) in post-2030 investment in SSE's operating territory. Additionally, SSE noted the upcoming publication of their RIIO-ED3 business plan, expected in November 2026, which is due to outline the next phase of the company's growth plans in electricity distribution.

UK system outlook: SSE underlined the importance of their diversified asset portfolio to both their own profitability and to UK security of supply, citing the recent UK heatwaves, where periods of low wind exposed the country's ongoing reliance on gas generation as international interconnectors were switched off and batteries ran short. SSE continues to engage with the UK government on the long term future of gas generation economics given the technology's ongoing importance in the generation mix.

UK politics: SSE continue to engage with the new UK government regarding the Prime Minister's desire for greater public control over UK utilities. The company noted the UK government's recent establishment of a Public Control task force targeting energy, water, housing and transport. SSE reiterated the significant level of government oversight that already prevails in UK electricity networks. Regarding the potential risk to Net Zero as UK government policy after the 2029 General Election, SSE noted the high cost and extended timelines of system alternatives such as new nuclear and new CCGTs. SSE also noted the [UK National Audit Office report](#) citing Ofgem's estimate of a net saving of £30 for a typical household in 2030-31 compared to the constraint and wholesale power costs incurred in the absence of accelerated grid investment.

AR8 CFD auction: SSE noted that the company has a variety of assets potentially suitable for participation in the upcoming AR8 subsidy auction round in the UK, including the remaining ~2.7GW of capacity at Berwick Bank, the ~500MW (gross) Seagreen 1A project and other smaller onshore assets.

Batteries: SSE expressed caution on the investment outlook for batteries in the UK given the lack of barriers to entry and the risk of saturation. SSE's investment strategy for batteries is not predicated on their standalone economics but rather on their portfolio benefits in supporting renewable capture prices.

Coire Glas: SSE's pumped storage development project, Coire Glas, was [recently selected](#) by Ofgem as one of 16 Long Duration Energy Storage projects in the UK to be taken forward to receive investment support. SSE are unable to take the project forward on the currently contemplated terms but continue to engage with Ofgem on a suitable framework that offers appropriate compensation for significant construction risk.

Data centers: SSE believe that the UK is at the early stages of its opportunity in data centers. SSE have 9 sites already identified as potentially suitable data center locations. There are a variety of different development models available, including a land sale or lease and a PPA or private wire arrangement.

UK capacity market outlook: SSE are engaging with the UK government on the long term future of the capacity market. The UK government launched a [consultation](#) on 2nd September 2026 on proposed changes to auctions from 2028 onwards, including to improve delivery assurance.

UK wholesale CFD: SSE expect a UK government consultation on plans to offer owners of existing renewable generation assets an alternative CFD subsidy arrangement to be released later this year, with an auction expected to be held at the end of 2027. SSE noted the importance of the implementation details, e.g. avoiding creating disincentives against repowering old assets. SSE has no obligation to accept a new CFD arrangement in replacement of its existing Renewables Obligation subsidies.

TERNA (O, PT €10.3)

We hosted Fabrizio Ragnacci and Cristiano Bertoldi from the IR team for a fireside chat and investor meetings.

Allowed WACC for FY27. Mark-to-market analysis of the current regulatory formula suggests the 30bp trigger mechanism for a WACC reset in FY27 is likely to be activated. Terna indicated that excluding French government bond yields from the calculation would have only a limited impact on the outcome. Terna does not expect the regulator to revisit parameters beyond those currently under review, namely the risk-free rate, country risk premium, inflation assumptions and forward premium. As a result, the recent increase in the Italian corporate tax rate is unlikely to be reflected in the allowed return.

Allowed WACC review for the 2028-2030 period. Looking beyond FY27, Terna highlighted the methodology used to calculate the allowed cost of debt as one area potentially subject to revision from 2028 onwards. Under the current framework, only 15% of the allowed cost of debt reflects prevailing funding costs, a weighting that may no longer be fully representative for rapidly growing infrastructure operators such as Terna, given their materially higher refinancing and funding requirements.

Regulatory review. The regulator has yet to complete its assessment of the ROSS Integrale incentive framework proposed by Terna, leaving limited visibility on any potential uplift to returns in 2026-27. Based on current indications, any introduction of additional incentives appears more likely to coincide with the start of the next regulatory period in 2028.

Long-term growth outlook. Terna reiterated a constructive long-term outlook for the Italian transmission network. A new national energy scenario is expected to be published in September, followed by an updated 10-year transmission development plan in 2027, which will form the foundation of Terna's next business plan, currently expected in 2H27. The company continues to see sustained growth in renewable deployments, primarily solar and battery storage, supporting ongoing network investment requirements. At the same time, Italy is expected to remain a structurally import-dependent power market for the foreseeable future, underpinning the strategic importance of transmission infrastructure.

Supply chain. Terna reported no meaningful supply-chain constraints, with more than 90% of the capex associated with the current business plan already secured. The main exception remains the Tunisia interconnector, whose total project cost has increased from €850m to approximately €1.4bn. Under the 50/50 partnership structure between Terna and the Tunisian TSO, around €0.3bn is expected to enter Terna's RAB, with the remaining funding supported by subsidies and contributions from the Italian government.

Data Centers. The company does not expect data centers to be a major earnings and capex driver in the near term. Terna's current assumptions envisage Italian data center capacity increasing to 2GW-4GW by 2030, from roughly 0.5GW today, implying power demand growth from approximately 6TWh to more than 20TWh. While this should support incremental connection-related investment, management does not currently anticipate the need for a material expansion of the transmission backbone specifically to accommodate data center growth.

Funding. Terna reiterated that it sees no requirement for an equity raise to deliver its current business plan through 2028. Additional financial flexibility will be provided by approximately €1.3bn of remaining hybrid debt capacity, while further

optimisation and potential rotation of non-regulated assets remain sources of longer-term balance-sheet optionality.

VEOLIA (O, PT €40)

We hosted Selma Bekhechi and Ariane de Lamaze from the IR team for investor meetings.

Business Plan update. Veolia indicated that any updated medium-term targets beyond FY27 are unlikely to be provided before completion of the current strategic plan. As a result, investors should not expect a new growth framework before the FY27 results announcement, when Veolia is likely to present the next phase of its strategic roadmap.

French politics. Veolia reiterated its limited exposure to French political developments given that the majority of its contractual relationships are with municipalities rather than the central government. The company also highlighted that the company's funding costs have historically shown limited correlation with movements in French sovereign bond yields, suggesting that recent volatility in the French macro-political backdrop should have only a modest impact on financing conditions.

Assets rotation. Veolia reaffirmed its €2bn asset disposal target through 2028, which remains an important source of financial flexibility and balance-sheet optimisation. Veolia expects to announce approximately €0.5bn of disposals by year-end, implying continued progress towards the overall target and providing additional flexibility to fund growth investments and maintain leverage discipline.

3Q26 developments. Trading trends remain mixed across business lines. Higher water consumption volumes in France continue to provide a positive earnings contribution, supported by favorable weather conditions. In contrast, unusually hot weather has weighed on hazardous waste treatment activities, while solid waste volumes remain broadly flat yoy. Within Water Technologies, Veolia expects a gradual recovery in the Middle East following a weaker 1H26, driven primarily by delays in the projects-related segment. Encouragingly, the company continues to see healthy demand for new desalination projects across the region, supporting medium-term growth prospects.

FY27 earnings Veolia highlighted several factors that could provide incremental support to FY27 earnings. Higher inflation would be supportive for regulated and contractually indexed activities through tariff pass-through mechanisms, while a firmer power-price environment could benefit Veolia's Energy division. Taken together, these factors provide potential upside to current expectations should the underlying macro backdrop evolve favorably.

VERBUND (U, PT €54.6)

We hosted CEO and interim CFO Michael Strugl and Andreas Wollein from the IR team for investor meetings.

Affordability challenges and political exposures: Management reiterated that the Austrian government intends to raise approximately €400m per year from the energy sector through 2030 via the existing windfall tax mechanism, which applies to realized power prices above predefined thresholds of €90/MWh for legacy assets and €100/MWh for new assets. The framework includes an offset mechanism that allows companies to deduct a portion of their renewable energy investments made in Austria, thereby mitigating the overall tax burden. Verbund noted that the offsetting mechanism increase the threshold to €105-110/MWh, level that is currently above the company's expected realized power prices. As a result, management indicated that Verbund may incur no additional windfall tax charge this year, compared with the €60m provision previously included in expectations. That said, management acknowledged the possibility that the government could seek to modify the mechanism next year in order to achieve its targeted annual budget contribution, potentially by lowering the applicable price thresholds. However, the company highlighted that the authorities have so far been reluctant to pursue such changes, partly due to legal constraints and the risk of challenges from market participants. Verbund also emphasized that the ongoing tightness in European energy markets could lead to a renewed increase in power prices, potentially reigniting affordability concerns and increasing political pressure on policymakers. In such a scenario, the risk of intervention would likely rise.

Regulatory account outlook: Management indicated that the regulator has not yet provided a clear framework to reduce the regulatory account balance. For planning purposes, Verbund assumes a €70m annual reduction in the regulatory account.

Hydro conditions and hedging position: Verbund's hydropower generation continues to be adversely affected by weak hydrological conditions for a second consecutive year. The situation remained challenging throughout July and August, with the hydro coefficient standing at 0.63 year-to-date, implying production conditions were 37% below the long-term average. In a context where the EBITDA guidance (€2.1-2.4bn) assumes a hydro coefficient of 1.0 in 2H26, and considering current

indicators suggest below-average conditions may persist through the remainder of the year, the company emphasized that its guidance incorporates some buffers, including the provisions for windfall taxes (€60m) or contributions from flexibility assets. As far as hedging position are concerned, the majority of 2026 generation has already been hedged. Verbund had to buyback power in recent months to cover lower-than-expected hydro output, the company pointing at a €50-60m monthly impact (gross). Looking further ahead, the company indicated that 2027 generation is 48% hedged at an average price of €101/MWh with a mark to market of €117/MWh. For 2028, 5% is hedged at €93/MWh, for a mark to market at €100/MWh.

Carbon pricing outlook: Management shared its views on the potential evolution of CO₂ prices amid the ongoing EU ETS reform discussions. Verbund believes the EU ETS remains firmly supported and considers a repeal of the scheme highly unlikely. While the company does not expect carbon prices to decline materially, it also sees levels of €200/t as improbable given the risk of political intervention should prices rise too sharply. Overall, Verbund expects CO₂ prices to trade within a medium-term range of €70-100/t.

Hydro generation strategy: Verbund benefits from a highly competitive hydro generation fleet, characterized by a very low cost base, with full production costs of approximately €20/MWh and marginal costs of around €5/MWh. Its assets not only provide baseload power via its run-of-river plants, but also provide a lot of flexibility thanks to the storage and pumping features, enabling the company to capture value from peak-load pricing and power spreads. While management acknowledged that the growing deployment of batteries could partially cannibalize some flexibility revenues over time, it emphasized that hydropower remains uniquely positioned to provide flexibility over multi-day and multi-week periods, particularly during prolonged *Dunkelflaute* events, when both wind and solar generation are weak. In addition, battery deployment in Austria remains relatively limited at present. As a result, management continues to view the economics of hydropower as highly attractive, including for potential new development projects.

Pumped storage investment outlook: Management provided an update on its **1.3GW pumped-storage development pipeline**, with projects currently at various stages of maturity:

- The 480MW Kaprun-Schaufelberg pumped-storage project is the most advanced within the portfolio and continues to progress through the development process ([link](#))
- The 400MW Salza project remains at an early stage of development ([link](#))
- The 300MW Riedl pumped-storage plant in Bavaria has already secured some approvals; however, the project has been subject to legal challenges ([link](#))

VESTAS (NOT RATED)

We hosted Frederik Holm Jacobsen from the IR team for investor meetings.

US order outlook and tariffs: The US remains a supply-constrained market due to local content requirements for tax credit eligibility and the impact of import tariffs. Supply constraints are clearly supportive for pricing and margins. In general in the US the level of order visibility is as good as it has ever been, and Vestas recorded ~5GW of US orders in the last 12 months. US customer behaviour is bifurcated, with data-centre-adjacent customers comparatively bullish regarding tariff risk and utility-adjacent customers more cautious.

Germany onshore outlook: Germany and the US combined account for ~60% of Vestas's onshore volumes. Visibility in Germany is also very good and has improved further with the recent announcement of an ambitious auction schedule. Visibility now extends until the early 2030s, with a wave of auction volumes totaling ~72 GW proposed (15GW in 2027 and 2028, 12 GW in 2029, 10 GW in 2030, 2031 and 2032). Recent grid reforms in Germany are a small negative.

Onshore division performance: Performance in Germany has been particularly strong as high delivery volumes give opportunity for greater operating efficiency. Outside of Germany the European outlook is mixed, with grid connection availability and permitting remaining significant bottlenecks. Power Solutions EBIT margin was 10.4% in Q2 with both onshore and offshore showing strong performance vs expectations.

Offshore division performance: Offshore is currently loss-making but Q4 2026 is expected to be the first profitable quarter and 2027 the first profitable year. This is heavily reliant on execution quality in 4-5 key projects and operational issues can be extremely expensive as delays compound. The economics on the early cohort of offshore orders are less attractive than are expected as the business matures and the lower margin initial wave of projects is expected to be completed by the start of

2027. There is a strong backlog for the next 3 years but then a speed bump over 2029 and 2030, with a significant step-up heading into 2031.

Service division performance: Service division performance is expected to improve from 2027, cost out exercises were completed in 2025 and 2026, and pricing improvements carried out previously will begin to be seen in margins. Given the length of the 11-year backlog it takes time for pricing improvements to come through. The reported LPF continues to act as a leading indicator of service division profitability, Vestas are seeking to reduce this to the 2-2.5% region which would be the equivalent of several percentage points of EBIT margin. The longer term EBIT margin target for Service remains 25% but Vestas are not publicly committing to a timeframe for when this will be achieved.

He Dreiht blade incident: A root cause analysis exercise is still ongoing on the recent blade incident at the He Dreiht offshore wind farm in the German North Sea, where a Vestas blade broke off its turbine. The analysis is expected to conclude in the next 2–4 weeks. Vestas are confident that the underlying cause is idiosyncratic rather than general and relates to a specific repair process used rather than a production-wide quality issue. The company has worked hard to contain the environmental and PR impacts of the incident,

AR8 outlook: Vestas would not comment on the offshore developers to which they have most exposure for AR8, in the past there was greater use of preferred supplier agreements which enabled greater visibility.

Inflation exposures: Vestas have made significant improvements to contracting since 2022 which have substantially reduced the level of inflation risk. Supplier dependency has also been materially reduced with greater use of double sourcing. 100% of the OEM order backlog now has cost indexation applied. Vestas do not see any likelihood of material cost headwinds relating to the Iran war, with e.g. freight costs well hedged via long term agreements with Maersk.

Group margin target: Achievement of the long term group EBIT margin target of 10% does not depend on meeting all identified divisional objectives, e.g. reaching 25% EBIT margins in Service.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

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